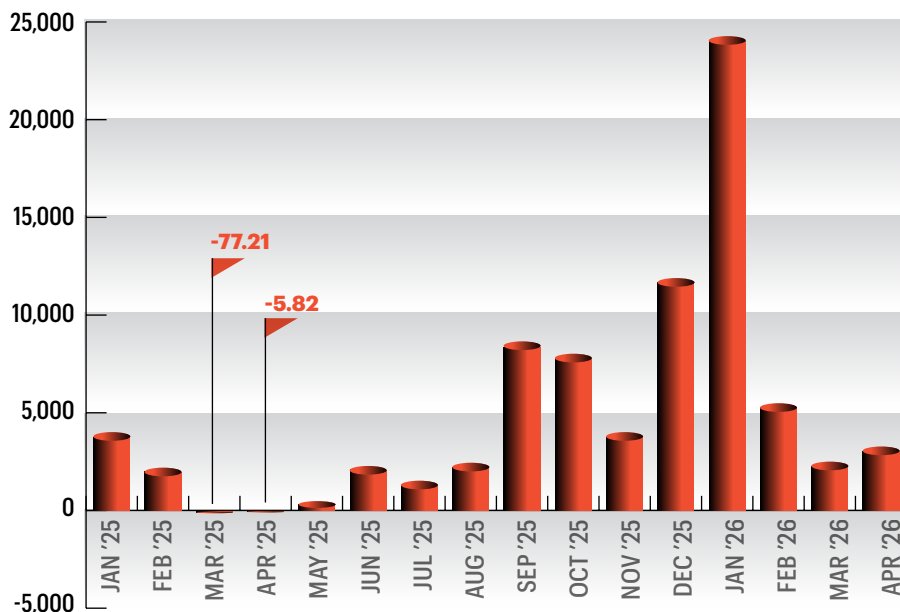


MAPPING THE TREND

• Gold ETF inflows from January 2025 to April 2026



NOTE FLOWS IN ₹ CRORE SOURCE AMFI

700-800

TONNES

GOLD CONSUMED BY INDIA ON AVERAGE EACH YEAR

213%

JUMP IN OUTLAY OF GOLD LOANS BY NBFCs IN Q4FY26

70%

SURGE IN GOLD PRICES IN 2025

see central-bank buying as the strongest structural force in the gold market and expect Western-world investment demand to pick up again. The fundamental backdrop remains favourable even though volatility is set to stay elevated as long as the Iran war lasts," he pointed.

The Reserve Bank of India too has been buying gold and held around 880.52 tonnes of gold, according to its recent data released on May 22, 2026.

The surge in gold prices has also fired up the gold loan industry. According to Equifax India, gold loan originations surged 103% in the quarter ended March 2026, making it the fastest growing retail

credit segment in the country. The gold loan segment also saw a 37% increase in quarterly disbursements, while portfolio outstanding balances nearly doubled over the past year.

While public sector banks retained the highest share among gold loans, it was NBFCs that saw over three times increase in originations from a year ago. Gold loans are strictly backed by collateral, which is gold jewellery. When gold prices rise, the assessed value of your jewellery increases and therefore you can get a higher amount of loan against the same. Since the loan is backed by a customer's gold jewellery, lenders also find this business very attractive.

Notably, according to George Alexander Muthoot, the MD of Muthoot Finance, smaller ticket loans have reduced and people who may have earlier opted for perhaps ₹10,000 loan are also opting for higher ticket loans of say ₹20,000 or ₹50,000. He points that in the smaller accounts, the company had lost about 1.5 million customers.

"But we have added the same in the higher tickets of ₹50,000, ₹1 lakh, and ₹2 lakh. So, overall, that is the churn which is happening. The money value has gone up," he said.

However, analysts are also calling for some early caution in the gold business now. According to India Ratings and Research,